new way of life to India," feels Ambani. "These services will let people watch television programmes and movies, and access the Internet as well. But before any of that, we feel our fundamental responsibility is to provide telecommunications services at affordable prices."

The Road Ahead

Conventional wisdom would say that Ambani should concentrate on the big cities, to make money and keep the company going. He feels the answer lies elsewhere. "We are networking more than 5,000 cities and towns in India," he says. "We have laid more than 1.2 lakh km of fibre-optic cable. The same services that people get in a Reliance WebWorld will be the services that they will get at home. That would be real broadband."

But the trouble is, despite the huge array of services, India has traditionally been a country with a low adoption rate for paid services. For instance, all of Reliance's R World data services on the mobile phone are free (some of them would go paid soon), and this is the primary reason behind its popularity.

Ambani doesn't agree. "We need to challenge conventional cost structures and offer services at incredible rates. You will witness how the usage will boom for technology and data products, even if they are paid for. It's because people value relevant content, and they wouldn't mind paying for it."

He says he is confident that this growth will be exponential, making India one of the highest consumers of data products in the world. "Given India's diversity, data and communications services need to be a combination of affordability and the best in technology. People should view these services as enablers of personal economic growth. Take your neighbourhood vegetable vendor, the newspaper vendor as well as the fisherman; all of them use mobile phones to conduct and enhance their businesses."

This proliferation has made India the second-largest cellular handsets market after China. In a recent report, investment firm Morgan Stanley predicted that India will show a compounded growth rate of 40 per cent per year until 2007 in the cellular market.

What is CDMA?

CDMA is short for Code Division Multiple Access, which uses multiple frequencies for transmission of voice and data. Simply put, it differs from GSM (Global System for Mobile Communication) in the way voice gets carried from one phone to the other. Because of the way it assembles multiple voices into the same frequency, CDMA increases voice clarity. The technology also helps you receive calls when the signal is weak.

Imagine a locked room where you and your friend are talking to each other. The room, then, is exclusive to you. Now imagine the room as a frequency band. This is how GSM works.

In CDMA, however, the same locked room (or frequency band) will have several pairs of friends talking to each other, but each of the conversations will be scrambled, thus ensuring privacy. Because CDMA uses the same frequency to accommodate several conversations by using multiple transmitters, the usage of available bandwidth can be optimised, leading to higher traffic density without the accompanying problems of failed calls.

This also gives CDMA service providers the flexibility to provide data and video services.

CDMA was invented during World War II when Allied forces wanted to get past the Germans by sending coded messages over different frequencies and giving them the ability to be accessed from different points—hence "Code Division Multiple Access."

Sit back and relax: A chat session featuring film celebrities at a Reliance WebWorld event

"A one per cent increase in tele-density raises the country's GDP by three per cent," says Ambani. "That's good for us as a nation, and for us as a company. What is good for India, is good for Reliance."

What is good news for the consumer, however, is that Reliance will soon be entering the home broadband services sector. The fibre-optic network has already ensured that corporate broadband services are delivered at speeds of up to 100 Mbps. "We will now concentrate on providing high-speed Ethernet links to homes, too," says Ambani. Reliance has termed this Netway. "It is our way of changing the communication pattern in India."

Up, Close And Personal

Ambani's words are chosen carefully, and they show determination and impatience in equal quantity. He wants to make things happen, and fast. "Not really," he says. "Impatience can never result in success. Yes, we are in a hurry, but we are running fast because we have to catch up with the rest of the world. We have to deliver."

It would seem he has the same level of enthusiasm of a first-time entrepreneur, not the been-there-done-that kind of attitude of the head of an empire that has yearly revenues of Rs 99,000 crore, or 3.5 per cent of India's GDP. Any spare time, then? "You have to make time," he says, "I spend my free time reading about the latest technology trends and books on management. But a majority of my free time from work is spent with my family. Business may be the driving force of your ambition, but family is more important."

Ambani says he spends considerable time using R World services, though he admits that there is none in particular he would choose as his favourite. "That would be like asking who you like most among your children."

Perhaps that is the secret of Reliance being India's largest telecom company in 18 months. Ambani nurtures it like his child; one that has shown enough signs of being the Big Daddy of them all. ⊠

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